

this, that decline is meaningless, a move of about 0.75%; if it is the Standard & Poor's 500 Index, now over 5,000, that's an unnerving 6% decline.

This lack of context can lead you to misunderstand risk. For investors, it means fearing the wrong things.

Worried about market crashes? Exactly how many market crashes have there been relative to the number of trading days during your lifetime? That's a subtle case of denominator blindness. Crashes are rare, and relative to your portfolio's returns, you would be better off focusing on the everyday things that hurt investors most: Costs, (over)trading, commissions, and taxes.

Market crashes are great—if you have capital handy, are not near retirement age, and can manage your emotions and behavior. It's counterintuitive, and not how most people think about wrenching dislocations.

Concerned about terrorism? The September 11 attacks made many Americans fearful of flying, even though this was a rare event.^{[121](#)} A study of the years following revealed a decrease in air travel and an increase in driving, resulting in more than 2,000 additional driving deaths than would have been expected.^{[122](#)}

We may fear terror attacks, but we should be more concerned (at least statistically) with the 43,000 annual automobile fatalities in the United States.^{[123](#)} We should worry less about terrorist attacks, and instead wear our seat belts and stop texting while driving.

None of those risks is as great as the odds that you will die of heart disease. According to the Centers for Disease Control and Prevention (CDC), one person dies every 33 seconds in the United States from cardiovascular disease; that's one in every five deaths annually in America.^{[124](#)}

We spend too much time worrying about big, rare events, while ignoring the mundane everyday factors that are far more dangerous.